ABC News (ABS Job Vacancies, August 2026) · RBA
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Job vacancies fall to 325,000, now 31% below their peak, and few businesses blame AI

The ABS reports that job vacancies fell again in the three months to August. The fall is concentrated in the private sector, a sign that labour demand is cooling as higher interest rates slow the economy.

WHAT HAPPENED

- Total vacancies fell **0.9%** in the three months to August 2026, to **325,000**. This is **31.2%** below the May 2022 peak.
- **Private sector** vacancies fell 2% to 286,300, while **public sector** vacancies rose 7.8% to 38,700.
- Around **82%** of businesses said AI did not affect their vacancies. **4%** said it reduced them and fewer than 1% said it increased them.
- **Information media and telecommunications** had the highest share of businesses reporting fewer vacancies due to AI (16%).
- The RBA says unemployment averaged **4.6%** in the September quarter and forecasts it to rise to about 5.1% by the end of 2028.

325,000
Job vacancies, three months to August 2026

−31.2%
Fall from the May 2022 peak

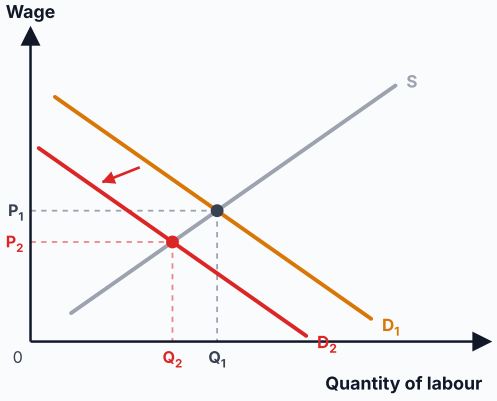
4%
Businesses saying AI reduced their vacancies

Job vacancy: an unfilled job that an employer is actively trying to fill. Vacancies are a **leading indicator** of unemployment.
Structural unemployment: caused by a mismatch between workers' skills and available jobs, e.g. from technological change.

BAR CHART **Change in vacancies, three months to August (left) and AI's effect on vacancies (right)**



DIAGRAM **Falling labour demand**



Higher interest rates and slower spending reduce firms' need for workers, shifting labour demand from D_1 to D_2.

Fewer vacancies mean employment falls (Q_1 to Q_2) and wage growth slows (P_1 to P_2 on the wage axis). This is how tight monetary policy cools the labour market and eases inflation.

Exam angle: vacancies falling while unemployment rises signals **cyclical** weakness. The AI survey suggests technology is not yet a major source of **structural** unemployment.

Syllabus link: Topic 3 – economic issues: unemployment, including labour market indicators (vacancies, participation) and types of unemployment (cyclical and structural, including technological change).

Try this
Explain why job vacancies are a useful leading indicator of unemployment. Refer to the August 2026 data. **(3 marks)**

Sources: abc.net.au/news/2026-11-04/asx-markets-business-live-news-nov-4/107343406 · rba.gov.au/publications/smp/2026/nov/